

CEO LETTER



DEAR SHAREHOLDERS,

In 2024, PUMA's sales increased in a dynamic market environment by 4.4% currency-adjusted to € 8,817 million. We were able to improve our sales growth from quarter to quarter and grew by 9.8%, currency adjusted, in the fourth quarter. For the full year 2024, sales in all regions, product areas and distribution channels improved on a currency-adjusted basis compared to the previous year. This means PUMA has grown faster than the market, which recorded currency adjusted growth of 1.8% in 2024 according to Euromonitor.

Despite this solid sales growth and the significant progress we made in 2024 in implementing our brand elevation strategy, we are not satisfied with our profitability. The operating result (EBIT) of € 622 million in 2024 was at the level of the previous year. Although this is in line with our outlook, it is below our own expectations. At € 282 million, the net result was below the previous year's level.

In 2024, we made good progress in implementing our brand elevation strategy, which is the basis for our long-term growth and further market share gains. The strategy consists of three elements: a distinctive brand DNA, a strong performance business and strengthening our relevance in Sportstyle Prime.

We used the Year of Sport 2024 and the many major sports events to launch our first brand campaign in 10 years' time. This campaign helped PUMA deepen its emotional connection with consumers and further increase its brand equity. As a next step, we have further refined our brand DNA and will present the next campaign to our consumers in 2025.

By further strengthening our performance business, we are demonstrating our role as an innovation-orientated company. One example of this is our leading foam technology NITRO™, which enabled us to gain further market share in 2024. After just four years, we have risen to become one of the top 10 running brands and are one of the fastest growing brands in this segment. In the football category, where we have been pursuing this performance approach for some time with our FUTURE, ULTRA and KING franchises, 2024 was another record year with further market share growth.

I am also satisfied with our progress in 2024 when it comes to the third pillar of our strategy, to become more relevant in Sportstyle Prime. We have consistently implemented our new product and marketing strategy and steadily built up demand for our Sportstyle Prime product range in 2024, especially for low-profile and progressive running styles. A good example of the low-profile trend is the Speedcat. It has already been worn by famous actors, musicians and influencers and has been highlighted by many media outlets as one of the most sought-after products on the market. We expect to maximise our opportunities in the low-profile sneaker segment with the Speedcat and other models in the summer of 2025.

With an increased focus on translating our sales growth into higher profitability growth, we have initiated "nextlevel", a comprehensive efficiency programme to optimise costs and make operational improvements that complement our brand elevation growth strategy. With "nextlevel", we will reduce our direct and indirect costs to realise savings, particularly in the areas of sourcing, logistics and IT. At the same time, we will further align our structures and personnel with future growth, with the aim of improving personnel costs in relation to sales. With "nextlevel", we will strengthen our overall competitiveness and continue to invest in our brand and employees - the two most important pillars of our success.

We are not satisfied with our share price performance, which does not adequately reflect the solid financial position and promising outlook of our company. Our strategic investments are focused on the long-term success and competitiveness of PUMA and we are convinced that this will lead to a better share price performance in the medium to long term. We are convinced of our brand elevation strategy and will continue to implement it consistently to realise the great potential of the PUMA brand.

I would like to take this opportunity to thank the PUMA family - our employees, wholesale partners, suppliers, brand ambassadors and athletes - for their commitment and contribution. I am also very grateful to our Supervisory Board for their support in implementing our strategy. I would also like to thank you, our shareholders, for your trust.

Arne Freundt

Chief Executive Officer PUMA